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Rumblings of Another Crash

Even Ketan's closest associates found it hard to keep track of his trading calls. He would be bullish on his favourite stocks but frequently book profits when prices rose, only to buy them back when prices fell. Every such profitable trade meant his average cost of acquisition would reduce further.

'Most of his so-called investment bets are downright dubious, but when it comes to trading skills, he does not have an equal,' GB had once remarked.

Such was the speed with which he got in and out of positions that it left the market guessing. Also, Ketan traded through a vast network of brokers to confuse anyone trying to piggyback his bets. He could be buying through a group of Mumbai brokers and simultaneously selling an even bigger quantity through Calcutta brokers. Sometimes it was the other way round, his buy orders exceeding his sell orders.

By itself, there was nothing surprising in this tactic, since operators sometimes had to create a trend contrary to the position they wanted to take. If they wanted to accumulate a big lot, they would first try to depress the price to be able to buy cheap. The trick was to push the price below a key level and panic day traders and retail investors into selling out. If the operators wanted to offload a big position, they would try to boost the price and generate demand by buying a small quantity. This time, the price had to be pushed above a key level to tempt retail investors and day traders into buying.

At times, the brokers with whom Ketan placed orders would try to profit from front-running his orders. A few would get away, but Ketan got to